

These proposals would keep the fee increase modest and start closing the reserve gap.
All the savings figures below are my estimates, not bids.

1. Trim the lines that jumped without explanation (about \$98k)

Bring these closer to 2025 levels unless the board can justify the increase:

Line	Proposed Suggested Savings		
Contingency	70,000	35,000	35,000
Social Committee	20,000	7,500	12,500
R&M-General	25,000	15,000	10,000
Bonus	30,000	20,000	10,000
Professional Fees	50,000	40,000	10,000
Plumbing Supplies	20,000	12,000	8,000
Electrical Supplies	10,000	3,000	7,000
Electronic Voting	10,000	5,000	5,000
Total		97,500	

Keep half the contingency, because the insurance figure may still change.

2. Hold staffing growth to about 7% (about \$167k)

Florida's minimum wage is rising toward \$15, so some increase is fair, but +24% to +36% is not explained.

Line Proposed At 2025 + 7% Savings

Gen'l Salary Service	310,415	243,551	66,864
Valet	300,000	235,400	64,600
Front Desk	250,835	215,683	35,152

The board should also:

- Ask the management company for headcount, hours and pay rates for each line, and merge overlapping roles.
- Consider a small **guest valet fee**, so residents don't pay for all valet service.

3. Re-bid the big contracts (about \$122k)

- **Cable (\$275k, or \$90/unit/month):** a re-bid at about \$65/unit/month saves about \$77k. This is only possible when the current contract ends, so check its end date.
- **Pool attendant (\$200k):** fewer attendant hours in the off-season could save about \$30k.
- **Landscaping (6 lines, \$149k):** combining them into one contract could save about \$15k.
- **Going forward:** require 3 bids for any contract over about \$25k.

4. Earn more on money already held

- **Reserves in higher-yield accounts:** move them into insured CDs or Treasury bills. At around 4%, the ~\$1.25M balance earns about \$50k a year, and that interest stays in the reserves. The budget currently shows \$0 reserve interest.
- **Operating cash:** keep it in a higher-yield account too.

5. Put the savings into reserves, not operating costs

Together, sections 1–3 total about **\$386k**. Three ways to use it, starting from the 2025 year-end reserve balance of \$1,011,921:

Scenario	Fee change	Reserve in 2027	2027 "hole"
A. As proposed	+2.4%	–\$1.84M	\$500k
B. Savings go to reserves (contribution rises to \$958,514)	+2.4%	–\$1.06M	\$500k

Scenario	Fee change	Reserve in 2027	2027 "hole"
C. \$500k residual goes to elevator reserve; savings cover operations	+4.0%	-\$1.34M	none
D. Both residual and savings go to reserves	+9.7%	-\$0.56M	none

The fee change in scenario C is:

$$(F^{(2026)} - F^{(2025)} + S - \text{Savings}) / F^{(2025)} = (160,449 + 500,000 - 386,000) / 6,787,661 = 4.04\%$$

I'd recommend C or D. Both remove the one-time-money problem. For a typical "F" unit, C means about +\$104/month instead of +\$61; D means about +\$251/month.

6. Plan the elevators separately

Even in scenario D, reserves come up about \$0.5M short in 2027, so the elevator replacement needs its own plan:

1. **Check the timing.** Confirm the "2 years left" figure with an elevator consultant. Modernizing the elevators in phases (controllers first, cabs later) can spread the ~\$4M over 3–4 years.
2. **Decide the funding now.** Choose between a **bank loan** repaid through fees and a **scheduled special assessment** announced in advance. Either is better than an emergency assessment in 2027.

7. Fix how the budget is prepared

- **Reconcile the reserve schedules.** Remove the roof, waterproofing and electrical overlap between the regular and SIRS schedules, and explain the \$2M "SIRS Reserves" line.
- **Correct errors:** move Electronic Voting to administrative costs, and fix the identical Groundskeeper and Painting amounts.
- **Disclose to owners:** the litigation and its expected cost, and that the \$500k residual is one-time money.

- **Give owners oversight:** quarterly budget-vs-actual reports, plus an owners' budget committee that reviews the draft before adoption.

These are estimates from the budget package alone. Actual savings depend on contract terms, bids and the reserve study. For legal questions (residual use, SIRS funding), check with the association's attorney. I'm not a lawyer or CPA.